

CRL 5x / ONE BRANCH OF THE COMPARISON

Client lifetime. B-book profitability.

At the technical threshold of \$500, nobody exits within 24 months: no lifetime extension emerges relative to traditional. In the explicit scenario of exit after a realised loss of 50%, with premium Q +7.5%, restricted mean duration over 24 months is 23.93 months versus 21.55; 970.6 clients per 1,000 remain versus 647.9. B-book margin is \$12,762 versus \$10,846 per initial client. Longer duration and higher margin coexist in 17/18 variants. This result is conditional on the exit rule, not an estimate of actual churn. Average client wealth, including withdrawals, is \$35,963 versus \$38,536: longer duration does not imply higher final capital.

A-book and hybrids retain their own results. This analysis concerns only B-book, exits and lifetime. Longer lifetime and positive margin are distinct from margin exceeding traditional leverage and higher client wealth.

Rule / fee	Lifetime STD / CRL months	Remaining STD / CRL	Margin STD / CRL \$
Technical threshold: \$500 capital / baseline Q	24.00 / 24.00	1,000.0 / 1,000.0	11,434 / 6,542
Technical threshold: \$500 capital / Q +7.5%	24.00 / 24.00	1,000.0 / 1,000.0	11,434 / 12,783
Exit at 20% realised loss / baseline Q	10.59 / 19.44	144.2 / 432.1	6,577 / 5,239
Exit at 20% realised loss / Q +7.5%	10.59 / 15.86	144.2 / 163.0	6,577 / 8,514
Exit at 50% realised loss / baseline Q	21.55 / 24.00	647.9 / 998.1	10,846 / 6,541
Exit at 50% realised loss / Q +7.5%	21.55 / 23.93	647.9 / 970.6	10,846 / 12,762
Exit at 80% realised loss / baseline Q	23.99 / 24.00	996.6 / 1,000.0	11,432 / 6,542
Exit at 80% realised loss / Q +7.5%	23.99 / 24.00	996.6 / 1,000.0	11,432 / 12,783

Thresholds are scenarios, not observed rates. No exit is inferred automatically from drawdown. Client wealth includes all withdrawn capital. Lifetimes are limited to the observed 24 months; there is no extrapolation to full lifetime.

SCENARIO: EXIT AT -50% REALISED LOSS / Q +7.5%

The path, month by month.

Month	Remaining STD / CRL	Accumulated lifetime STD / CRL	Margin STD / CRL \$	Wealth STD / CRL \$
1	1,000.0 / 1,000.0	1.00 / 1.00	1,157 / 106	48,811 / 49,832
2	1,000.0 / 1,000.0	2.00 / 2.00	2,138 / 276	47,804 / 49,602
3	1,000.0 / 1,000.0	3.00 / 3.00	1,607 / 697	48,307 / 49,117
4	999.9 / 1,000.0	4.00 / 4.00	2,639 / 1,813	47,251 / 47,952
5	999.6 / 1,000.0	5.00 / 5.00	3,250 / 2,347	46,614 / 47,359
6	999.0 / 1,000.0	6.00 / 6.00	3,220 / 3,079	46,618 / 46,567
7	997.9 / 1,000.0	7.00 / 7.00	3,267 / 3,548	46,545 / 46,038
8	992.9 / 1,000.0	7.99 / 8.00	4,673 / 4,187	45,111 / 45,346
9	986.3 / 1,000.0	8.98 / 9.00	5,899 / 4,718	43,858 / 44,755
10	979.6 / 1,000.0	9.97 / 10.00	6,483 / 4,970	43,252 / 44,446
11	972.0 / 1,000.0	10.94 / 11.00	6,536 / 5,450	43,175 / 43,916
12	964.9 / 1,000.0	11.91 / 12.00	7,469 / 5,614	42,225 / 43,711
13	954.9 / 1,000.0	12.87 / 13.00	7,430 / 5,889	42,237 / 43,375
14	931.4 / 1,000.0	13.82 / 14.00	8,001 / 6,849	41,638 / 42,365
15	887.6 / 1,000.0	14.72 / 15.00	7,825 / 8,457	41,779 / 40,702
16	857.9 / 999.6	15.60 / 16.00	8,698 / 9,850	40,879 / 39,261
17	828.9 / 998.3	16.44 / 17.00	8,760 / 10,651	40,787 / 38,411
18	799.1 / 997.2	17.25 / 18.00	8,784 / 10,259	40,737 / 38,744
19	767.3 / 994.7	18.04 / 18.99	9,295 / 11,013	40,199 / 37,941
20	741.7 / 994.2	18.79 / 19.99	9,467 / 10,844	40,002 / 38,055
21	716.1 / 993.2	19.52 / 20.98	9,744 / 11,455	39,700 / 37,394
22	691.1 / 987.8	20.23 / 21.97	10,109 / 11,704	39,312 / 37,099
23	663.1 / 978.6	20.90 / 22.95	10,155 / 12,019	39,243 / 36,738
24	647.9 / 970.6	21.55 / 23.93	10,846 / 12,762	38,536 / 35,963

Averages per initial client, cohorts of 1,000 with \$50,000 initial capital. Three historical windows, 18 correlated variants. Average counts may be fractional. A client exits only after a closure below the threshold; the exit trade is included and remaining capital is returned.

ECONOMIC THRESHOLD / NO ASSUMED CAC

Replacement has a value. Measure it net.

Adjusted difference = closed-cohort margin difference + exit-probability difference $\times V$. V is an external value not already in the ledger. Avoided acquisition cost alone is insufficient: foregone net contribution from replacement clients must be deducted over the same horizon. No replacement client or new deposit was simulated.

-50% scenario, 24 months	Δ margin \$	Avoided exits /1,000	Required V /exit \$
Baseline Q	-4,305	350.2	12,294
Q +2.5%	-2,114	346.6	6,098
Q +5%	-40	338.6	119
Q +7.5%	1,916	322.7	0
Q +10%	3,753	295.9	0
Q +12.5%	5,464	257.0	0

Checks and scope

All 17 admissible fees, all 18 pairs and six exit rules. No new parameter to worsen traditional leverage. The ledger is causally truncated at the first exit event; decisions before it remain unchanged. The fixed cost of \$100 per initial client over 24 months remains included after exit: no overhead savings have been added.

No-exit replay reconciled to original ledgers; monthly identity of client wealth + broker margin + costs = \$50,000; returned capital and counts checked. Independent verification covers the baseline; this extension has internal checks.

Evidence and conclusion

CB01: Hayley and Marsh, What do retail FX traders learn?, pp.11 and 17: a relative link between recent outcomes and cessation, not an absolute rate or exit threshold calibrated to this cohort. CB03: Barber et al., Do Day Traders Rationally Learn About Their Ability?, p.12: cessation in a different population, not Forex capital depletion. The main dossier cites the sources and links to the primary documents.

Conditional quantification is complete. Longer commercial lifetime has not yet been demonstrated. Estimating it requires actual exit/withdrawal transitions and the broker's net replacement value: no further run on the same prices can replace those data.